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No. 98-1642

In The

Supreme Court of the United States

October Term, 1998

THE UNITED STATES DEPARTMENT OF THE ARMY,

Petitioner,

vs.

BLUE FOX, INC.,

Respondent.

On Writ of Certiorari to the United States Court of Appeals for the Ninth Circuit

BRIEF FOR THE RESPONDENT

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QUESTION PRESENTED

Is a subcontractor's suit to enforce an equitable lien against the United States a suit for "money damages" within the meaning of the Administrative Procedure Act, 5. U.S.C. § 702, and this Court's decision in *Bowen v. Massachusetts*, 487 U.S. 879 (1988).

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STATEMENT

In September, 1993, pursuant to Section 8(a) of the Small Business Act, 15 U.S.C. § 637(a), the United States Department of the Army awarded a contract to the United States Small Business Administration. Pet. App. 2a. The contract involved the installation and testing of a telephone switching system and the construction of a facility to house the switching system at the Umatilla Army Depot, Oregon. *Id.* SBA agreed to furnish the supplies and services requested by the Army by subcontracting with Verdan Technology, Inc. *Id.*

Verdan subcontracted the construction portion of its contract to Respondent Blue Fox. Pet. App. 4a. The total cost of the work to be performed by Blue Fox was $186,347.80. *Id.* Blue Fox did not know until it had completed its performance under the contract that Verdan had not furnished a payment bond. *Id.* Verdan failed to pay Blue Fox its full contract price -- the sum of $46,586.14 remained due. *Id.* Blue Fox informed the Army and SBA in writing on May 26, 1994, and again on June 15, 1994, that it had not been fully paid. *Id.* In its June 15, 1994 letter to the Army, Respondent requested "suspension or reduction of payment be administered by your agency." J.A. 33.[1] Nevertheless, the Army subsequently disbursed a total of $86,132.33 to Verdan between July and October, 1994. *Id.*

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[1]The Progress Payments clause of the Verdan contract permitted the Contracting Officer to "reduce or suspend progress payments" after finding on substantial evidence that any of several performance deficiencies had occurred, including "delinquen[cy] in payment of the costs of performing this contract in the ordinary course of business." Clause I.74 52.232-0016 I, page I-16, Exhibits to Plaintiff's Motion for Summary Judgment, Tab A, p. 96.

On January 3, 1995, the Army terminated Verdan's contract for default. Pet. App. 5a. In its notice of intention to terminate the contract, the Army indicated that one of its "most severe items of concern" was Verdan's failure to pay Blue Fox. *Id.* After termination of the Verdan contract, the Army chose Dynamic Concepts, Inc. to finish the uncompleted portion of the work, under an existing contract between the Army and Dynamic. The modification contract with Dynamic was for $126,772.78 and was partially funded with the undisbursed balance on the Verdan contract, $84,910.52. *Id.* The Army did not authorize payment to Dynamic for its work in completing the project until July 27, 1995, two months after Blue Fox filed suit in district court, asking *inter alia*, that the court enjoin the Army and SBA from paying any further monies or making any payments from funds available or appropriated for a follow-on contract for completion of the Umatilla Army Depot Electronic Switching System project, until Blue Fox's unpaid bill is satisfied. *Id.*

The original solicitation issued by the Army required the contractor to furnish payment and performance bonds if the contract exceeded $25,000. Pet. App. 3a.; Choate Aff. par. 6 (J.A. 59); Sawyer Aff. par. 6 (J.A. 63). On July 22, 1993, the Army's Contracting Specialist, Elizabeth Faler, spoke with the Army Judge Advocate General's Office, in regard to the bond requirement on the project. According to Ms. Faler's Memorandum of the conversation, she was told that "only VERDAN could get the bonds and that we did not have a contract with VERDAN's subs. She was very adamant about the subject." The following day, Ms. Faler spoke with SBA's Ms. Witty. Ms. Faler wrote that "I related what the Department of the Army Judge Advocate's Office had said. She [Ms. Witty] completely disagreed with their recommendations." Among other reasons given to Ms. Faler, Ms. Witty felt that Verdan would not qualify for a bond "because of its lack of experience in construction." J.A. 45

Ms. Witty recommended that the Army remove the Bond requirement...." J.A. 46. On August 5, 1993, the Army amended the solicitation, deleting the bond requirements. Sawyer Aff. par. 6 (J.A. 63).

Under 13 CFR § 124.305 (1990), the SBA was empowered to exempt an 8(a) participant from Miller Act bonding requirements where SBA determines that the 8(a) concern is unable to obtain the requisite bonds. To protect subcontractors, these regulations required, *inter alia*, that disbursement of contract proceeds be made through a special bank account, so that payment can be made directly to subcontractors, 13 CFR § 124.305(d)(2), and that the 8(a) concern provide written notification to subcontractors informing them that the primary contractor is not furnishing a Miller Act bond. 13 CFR § 124.305(d)(4). Nothing in the record evidences compliance with these regulations in connection with deleting the Miller Act bond requirements. Blue Fox never received the notice required by 13 CFR § 124.305. Lumly Aff. par. 12 (J.A.26). In its opinion, the Ninth Circuit emphasized "SBA's conscious avoidance of the Miller Act requirements" in the form of notes of telephone conversations within the SBA," and "between officers of the SBA and the Army...." Pet. App. 13a, n.6.

When Plaintiff asked the Army, in an Interrogatory, to explain why no bond was furnished, the Army answered as follows:

> **ANSWER:** The reason is not clear from the record. It may have been because the contract was classified under Standard Industrial Classification (SIC) Code 4813, telephone communications, and that government personnel did not require the payment bond because the primary SIC code was determined to be 4813, a non-construction SIC code. It may also have been because the government believed it could waive the

Miller Act requirements.

Excerpts of Record at 29-30, *Blue Fox, Inc. v. SBA*, 121 F.3d 1357 (1997) (No. 96-35648).

In dismissing the case, the district court concluded, *sua sponte*, that the Miller Act did not apply to the Verdan contract. Pet. App. 29a. In its brief however, the government conceded before the district court that the Miller Act was applicable. ("The Army and the SBA conceded before the district court that the contract at issue was subject to the Miller Act. The Defendants again concede that the Verdan contract was subject to the Miller Act."). Appellee's Opening Brief, at 11. The Ninth Circuit agreed that the Miller Act applied to the Verdan contract. Pet. App. 3a.

SUMMARY OF THE ARGUMENT

The equitable rights of unpaid subcontractors to construction balances are long-recognized in this Court's decisions. Ninety years ago, in *Henningsen v. United States Fidelity & Guar. Co.*, 208 U.S. 404, 410 (1908), this Court stated that the government had "equitable obligations to see that the laborers and supplymen were paid." This Court reaffirmed that recognition in *Pearlman v. Reliance Insurance Co.*, 371 U.S. 132, 141 (1962), stating that "laborers and materialmen had a right to be paid out of the fund...."

In this suit, Respondent Blue Fox, Inc., an unpaid federal subcontractor, seeks to declare and enforce such equitable rights. For years, the federal courts have permitted sureties on government contracts to enforce related rights. Thus, in *Pearlman*, this Court upheld a surety's right to reimbursement from remaining contract monies, reasoning that the surety, having paid the laborers and materialmen, was entitled to the benefit of the rights of the persons it paid. *Id.* at 141. If the surety's right to reimbursement rests on the rights of the subcontractors it paid, it stands to reason that the subcontractors themselves should be able to assert those rights where there is no surety.

Nevertheless, unpaid subcontractors traditionally have been unable to sue the government directly. Although sympathetic to their plight, courts were helpless to act, because of the bar of sovereign immunity. Absent sovereign immunity, however, the obstacle to enforcement no longer exists. Thus, when sovereign immunity is waived, unpaid subcontractors can directly enforce equitable rights to remaining contract monies. Applying this rationale, at least three circuit courts of appeal have permitted unpaid subcontractors to bring equitable lien actions against an agency of the government whose immunity Congress waived.

See *Active Fire Sprinkler Corp. v. United States Postal Serv.*, 811 F.2d 747, 756 (2d Cir. 1987); *Kennedy Electric Co., Inc. v. United States Postal Serv.*, 508 F.2d 954 (10th Cir. 1974); *Wright v. United States Postal Serv.*, 29 F.3d 1426 (9th Cir. 1994).

The Administrative Procedure Act waives sovereign immunity over Respondent's claim here. In 1976, Congress amended the APA to add what this Court has described as "an important part of a major piece of legislation...." *Bowen v. Massachusetts*, 487 U.S. 879, 896 (1988). In that amendment, Congress "eliminate[d] the sovereign immunity defense in all equitable actions for specific relief against a Federal agency. . . ." *Bowen*, 487 U.S. at 898-900. Congress did so by stating that "[a]n action in a court of the United States seeking relief other than money damages • • • shall not be dismissed nor relief therein be denied on the ground that it is against the United States ...." 5 U.S.C. 702.

The issue in this case is whether direct subcontractor enforcement of *Pearlman* rights seeks relief "other than money damages." For several reasons, this Court should conclude that enforcement of an equitable lien does *not* present a money damages claim. First, an equitable lien is historically distinct from damages. It is a charge, or security interest, on specific property. As its name implies, it is an equitable remedy, and thus stands in contradistinction to damages, a traditional legal remedy. Second, as specific relief, the equitable lien fits squarely within this Court's definition in *Bowen* of relief "other than money damages." 5 U.S.C. 702. The equitable lien does not *substitute* for a loss; instead it gives the claimant the "very thing" to which it is entitled. *Bowen*, 487 U.S. at 896. This is especially apparent as regards equitable liens on construction balances; the lien is limited to retained funds, if any, held by the owner. Damages, by contrast, would provide a judgment executable

against the owner's general assets. Third, the equitable lien is *limited*. Respondent is not asking for the government to pick up the tab whenever the prime contractor was supposed to pay, but did not. That would be damages. Rather, Respondent seeks to be paid from remaining funds, if any. If no funds remain, then there is nothing to lien. In this regard, Respondent seeks nothing more than the ability--which sureties have had for decades--to enforce payment from remaining contract monies. The plain language of Section 702 gives Respondent that right.

Try as it might, Petitioner is unable to demonstrate that an equitable lien constitutes damages. Applying *Bowen*'s test, Petitioner argues that giving Blue Fox money would substitute for its loss. But Petitioner's substitutionary arguments are directed toward theories Respondent is *not* advancing. Blue Fox does not seek to impose liability for deleting the Miller Act bond requirement, however lawless that may have been. Nor does Respondent seek money as a *substitute* for what Verdan failed to pay; under that theory, Blue Fox should be made whole, irrespective of the content of the fund. Finally, Petitioner argues that the liened fund "no longer exists," and an award of money from elsewhere must be damages. But that overlooks settled law that the government has the obligation as stakeholder to pay the proper party; it runs the risk of paying twice when disregarding valid claims. Moreover, the government cannot pay out money after a party has filed suit to enjoin transfer. Pending lawsuits cannot be so easily disposed of.

Perhaps recognizing that an equitable lien differs from damages, Petitioner directs attention away from the unambiguous language of the statute, and toward an Appropriations Clause argument. But payment of an equitable lien does not raise an Appropriations Clause issue. First, an equitable lien is payable from the contract balance;

thus a new appropriation is not called for. Second, Petitioner's reliance on this Court's decision in *OPM v. Richmond*, 496 U.S. 414 (1990) is misplaced. In *Richmond*, a statute *forbade* payments to persons in Mr. Richmond's income level. Invoking the Appropriations Clause, this Court refused to force the government to pay a claimant otherwise statutorily ineligible. By contrast, no statute prohibits the government from paying Respondent here. On the contrary, Congress (through its accounting arm the General Accounting Office) has *encouraged* such payments. So has the Court of Claims. Third, since a lienable fund has been identified, this case does not present the broader appropriations issues Petitioner suggests. This Court need not decide here all the types of equitable claims section 702 allows.

Petitioner also argues that the APA was never intended to permit this type of suit. The government complains that neither the Ninth Circuit nor Respondent ever identified the precise "agency action" being challenged. However, until its brief on the merits to this Court, the Army never asked for an explanation. Since this Court ordinarily does not consider issues not raised or resolved below, Petitioner's "agency action" argument should not be considered. In any event, the Army's failure to honor Blue Fox's request for "suspension or reduction" in payments to Verdan, falls squarely within the definition of "agency action" as contained in 5 U.S.C. 551(13). Even if it did not, APA review would be proper. Congress intended Section 702 to waive immunity for challenges to *all* illegal governmental conduct, not just that falling within the technical definition of "agency action" in the APA.

Petitioner also argues that, in any event, the Tucker Act impliedly forbids the Section 702 waiver. But the plain language of section 702 states that "Nothing herein • • • confers authority to grant relief if any other statute *that grants*

consent to suit expressly or impliedly forbids the relief which is sought." 5 U.S.C. 702 (emphasis added). This exception does not apply because the Tucker Act does not grant consent *to Respondent's suit*. Respondent asserts equitable rights arising from federal common law. The Tucker Act does not permit that kind of suit. The Army also argues that even if the Tucker Act does not impliedly forbid this action, the Miller Act does. However, this argument was raised and rejected in *Pearlman*, and several lower courts since. This Court should reject it again.

Finally, Petitioner stresses throughout the poor track record to date of subcontractors suing the government. But because immunity has been waived, those authorities -- no matter how extensive or well-settled earlier -- no longer bar federal court jurisdiction. Congress intended to give citizens the right to challenge in court the legality of governmental conduct that adversely affects its interests. Blue Fox should be treated no differently solely by virtue of its status as subcontractor.

ARGUMENT

I. RESPONDENT'S EQUITABLE LIEN ACTION PRESENTS A CLAIM "OTHER THAN MONEY DAMAGES" FOR WHICH 5 U.S.C. 702 WAIVES IMMUNITY

A. Respondent Seeks To Enforce Equitable Rights Which Arise By Operation Of Law

This suit seeks to declare and enforce equitable rights. The rights of unpaid laborers and materialmen to payment from unexpended contract balances are long-recognized in this Court's decisions. To understand the nature of these rights -- and why they are not "money damages"-- it is useful to first consider this Court's decisions upholding the equitable subrogation rights of sureties under federal contracts. Those decisions depend and rely on the well-established equitable rights of subcontractors to impose liens upon prime contract funds.

In *Prairie State Bank v. United States*, 164 U.S. 227 (1896), this Court held that a surety, who completed a project following the contractor's default, had a right to moneys retained by the government superior to that of a bank which lent money to the defaulting contractor. The Court based its decision on the doctrine that a surety who completes a contract has an "equitable right" to indemnification out of a retained fund. *Prarie State Bank, supra*, at 231. In *Henningsen v. United States Fidelity & Guar. Co.*, 208 U.S. 404 (1908), the Court extended the *Prairie State Bank* holding to provide that a surety who satisfied the claims of unpaid laborers and materialmen had an equitable right to retained moneys. In holding that the surety's equity was superior to that of a competing lender, the Court specifically noted that the government had "equitable obligations to see that the

laborers and supplymen were paid." *Henningsen, supra*, at 410.

In *United States v. Munsey Trust Co.*, 332 U.S. 234, 241 (1947), this Court refused to protect a surety's subrogation claim to retained moneys held by the government, against the government's own claim to offset money it was owed. However, just 15 years later, in *Pearlman v. Reliance Ins. Co.*, 371 U.S. 132 (1962), this Court reaffirmed a surety's rights to equitable subrogation. The *Pearlman* Court rejected an argument that *Prairie State Bank* and *Henningsen* had been overruled by *Munsey*. In so holding, Mr. Justice Black reiterated that "the laborers and materialmen had a right to be paid out of the fund...." *Id.* at 141.

On *Pearlman*'s authority, the lower courts now routinely authorize equitable liens under which unpaid subcontractors --in the absence of any implied or express contract with the owner-- are paid out of unexpended contract balances. As the Amicus Brief for the Surety Association of America states, "If a surety has a claim to contract funds by virtue of its subrogation to the rights of a subcontractor whom it paid, logically the subcontractor can assert the rights itself if there is no surety." See Brief Amicus Curiae of The Surety Assoc. of America [Supp. Neither Party] at 12 and authorities cited therein. Indeed, the surety's lien could not exist without the subcontractor's lien from which it is derived. See *Active Fire Sprinkler Corp. v. United States Postal Serv.*, 811 F.2d 747, 756 (2d Cir. 1987) ("[a]ny rights held by the sureties were founded upon the rights of the unpaid laborers and supp s.").

Applying this rationale, at least three circuit courts of appeal have permitted unpaid subcontractors to directly enforce equitable liens against the United States Postal Service ("USPS") under the authority of 39 U.S.C. 401, which

permits the Postal Service to sue and be sued. See *Active Fire Sprinkler Corp., supra*, at 754 ("[a]ny equitable rights held by subcontractors as against USPS, which may have been unenforceable where sovereign immunity existed, became enforceable upon immunity being waived."); *Kennedy Elec. Co., Inc. v. United States Postal Serv.*, 508 F.2d 954 (10th Cir. 1974); *Wright v. United States Postal Serv.*, 29 F.3d 1426 (9th Cir. 1994).

Because the contracting party here is the United States, 5 U.S.C. 702 waives sovereign immunity. The United States, like the U.S.P.S., may now be charged with subcontractor equitable liens. Petitioner argues, however, that "[b]ecause Respondent's suit seeks 'money damages' it is outside the scope of the waiver of immunity in 5 U.S.C. 702." First Argument Heading, Pet. Br. 13. The issue thus is whether an equitable lien seeks "money damages" under Section 702.

B. Section 702 Waives Immunity For Equitable Liens, Which Are Not "Money Damages"

The plain language of Section 702 waives immunity for Respondent's claim. In relevant part, 5 U.S.C. 702 provides:

> *An action* in a court of the United States *seeking relief other than money damages* and stating a claim that an agency or an officer or employee thereof acted or failed to act in an official capacity or under color of legal authority *shall not be dismissed nor relief therein be denied on the ground that it is against the United States* or that the United States is an indispensable party.

5 U.S.C. § 702 (emphasis added).

This statutory mandate could not be more clear: Congress has declared that immunity bars damages claims *only*. Thus, unless Respondent seeks *money damages*, sovereign immunity has been waived.

1. An Equitable Lien is Historically Distinct From Damages

"An equitable lien is a charge which will be enforced in equity against specific property, though there is no valid lien at law;" McClintock, *McClintock on Equity*, § 118, 319 (2d ed. 1948) [hereinafter McClintock]; see also *Restatement of the Law, Restitution* § 161 (1937) ("[w]here property of one person can by a proceeding in equity be reached by another as security for a claim on the ground that otherwise the former would be unjustly enriched, an equitable lien arises."); see also Pomeroy, *Equity Jurisprudence*, Section 1233 (5th ed. 1941) [hereinafter Pomeroy] ([a]n equitable lien "is simply a right of a special nature *over* the thing, which constitutes a charge or encumbrance upon the thing, so that the very thing itself may be proceeded against in an equitable action, and either sold or sequestered under a judicial decree, and its proceeds in the one case, or its rents and profits in the other, applied upon the demand of the creditor in whose favor the lien exists.") (emphasis in original).

"The term 'equitable lien' is used in at least two fairly disparate senses. In one sense it may refer to a lien created by express or at least implied-in-fact agreement of the p[illegible]ties...." 1 D. Dobbs, *Law of Remedies* 601 (2d ed. 1993) [hereinafter 1 D. Dobbs]. "The equitable lien when imposed, not as a matter of contract, but to prevent unjust enrichment, is essentially a special, and limited, form of the constructive trust." *Id.* See also McClintock, *supra*, at 319 ("[e]quitable liens fall naturally into two distinct groups: Those created to give effect to an intention of the parties to secure payment of

an obligation * * * and those created by the court, regardless of the intent of the parties, as a remedial device to protect a party against some inequitable loss.").

It is this second type of equitable lien, the "special, and limited, form of the constructive trust" which Respondent seeks to enforce here. 1 D. Dobbs, *supra*, at 5. Although both the equitable lien and the constructive trust are restitutionary devices, there is a distinction:

> The lien is imposed for reasons that, in principle, are the same as those that warrant the constructive trust and it works in substantially the same way. [footnote omitted] The difference is that restitution is measured differently. Where the constructive trust gives a complete title to the plaintiff, the equitable lien only gives him a security interest in the property, which he can then use to satisfy a money claim. Thus an equitable lien may be 'foreclosed', so that the property that has been subjected to the lien is subjected to a forced sale and the proceeds of that sale applied to payment of the plaintiff's claim. [footnote omitted] This results in only a money payment to the plaintiff and obviously does not carry with it the advantages of recovering specific property. On the other hand, it operates like the constructive trust in affording a preference over other creditors and in utilizing the rules for following property into its product.

Id. (emphasis added); see also 2 D. Dobbs, *Law of Remedies* 5 (2d ed. 1993) [hereinafter 2 D. Dobbs] ("a constructive trust is an order that the defendant transfer an identified fund or property to the plaintiff, in specie. [footnote omitted] An equitable lien is a lien placed upon specific funds or property to secure the plaintiff's rights to restitution in money."

[footnote omitted].).

Since an equitable lien provides restitution, it is distinct from damages. See 3 D. Dobbs, *Law of Remedies* 9 (2d ed. 1993) [hereinafter 3 D. Dobbs] ("[r]estitutionary recoveries are based on the defendant's gain, not on the plaintiff's loss. Restitution is thus distinct from damages, which measures compensation for loss rather than disgorgement of the defendant's gain."). Thus, this Court has held that actions to disgorge improperly gained profits, *Curtis v. Loether*, 415 U.S. 189, 197 (1974), and to return funds rightfully belonging to another, *Tull v. United States*, 481 U.S. 412, 424 (1987) are equitable actions, even though the relief they seek is monetary, because they are restitutionary in nature. See also *Mertens v. Hewitt Associates*, 508 U.S. 248, 255 (1993) (listing restitution as an example of "a remedy traditionally viewed as 'equitable'.").

Even though the equitable lien deals exclusively with the payment of money, it is a peculiarly equitable remedy. See *Houston v. Ormes*, 252 U.S. 469, 474 (1920) (recognizing an equitable lien as "an equitable right in the fund"); see also 2 D. Dobbs, *supra*, at 8 ("[t]he constructive trust and equitable lien are equitable remedies."); see also Pomeroy, *supra*, § 1234 (referring to the equitable lien: "There is perhaps no doctrine which more strikingly shows the difference between the legal and the equitable. . . ." quoting *Society of Shakers v. Watson*, 68 F. 730, 15 C.C.A. 632, 37 U.S. App. 141.); see also *Clews v. Jamieson*, 182 U.S. 461, 479 (1901) (1895) ("[t]he fact that the relief demanded is a recovery of money only is not important in deciding the question as to the jurisdiction of equity", quoting Pomeroy, *supra*, § 158 (constructive trust)).

The equitable lien thus stands in contradistinction to "damages," an historically legal remedy. See *Mertens*, 508

U.S. at 255 ("[m]oney damages are, of course, the classic form of *legal* relief") (emphasis in original); see also *Curnden v. Middleton*, 232 U.S. 633, 636 (1914) ("[t]he relief sought is simply a decree for damages * * * so that although the word restitution is used there is no attempt to rescind, to follow a specific fund or to establish a trust. Being a suit for damages the proper remedy is an action at law.").

2. An Equitable Lien Falls Outside *Bowen*'s Definition Of Damages

In *Bowen*, the state of Massachusetts sought to compel the Secretary of Health and Human Services to make reimbursement for certain Medicaid-related expenditures. This Court determined the relief to be "other than money damages," and upheld Section 702 jurisdiction. The Court drew a distinction between damages, which are given to substitute for a suffered loss, and specific remedies, which "'are not substitute remedies at all, but an attempt to give the plaintiff the very thing to which he was entitled.'" *Bowen*, 487 U.S. at 895. In so holding, the Court stated that "[t]he fact that a judicial remedy may require one party to pay money to another is not a sufficient reason to characterize the relief as 'money damages.'" *Id.*, at 893.

Applying *Bowen's* test for damages, the equitable lien does not "substitute" for a loss. *Id.*, at 895. Rather, as "a charge which will be enforced in equity against specific property," McClintock, *supra*, § 118 at 319, the claimant is given "the very thing to which it is entitled." *Bowen*, 487 U.S. at 895. See also *Armstrong v. United States*, 364 U.S. 40, 44 (1960) (recognizing that subcontractors holding liens "were entitled to resort to the specific property for the satisfaction of their claims."). Granted, the equitable lien results in the payment of money. See *Restatement (Third) of Suretyship and Guaranty*, p. 11, cmt. b ("Where the

equitable lien is on a fund, for example a bank deposit, it is enforced by a direction to pay the claimant out of the fund."). However, "[t]he fact that a judicial remedy may require one party to pay money to another is not a sufficient reason to characterize the relief as 'money damages.'" *Bowen*, 487 U.S. at 893. See also 3 D. Dobbs, *supra*, at 9 ("[i]f the theory for the claims is 'restitution' based upon the defendant's unjust enrichment, then the recovery is not 'damages' even if, in dollar amount, it is equivalent to a compensatory damages recovery.").

Moreover, in the case of equitable liens on construction balances, the lien is limited to retained funds, if any, held by the owner, see 3 D. Dobbs 471, *supra*, and cannot exceed the amount of funds held by the landowner. *Id.* Thus, if insufficient funds remain, the subcontractor is out of luck; he is not made "whole," since the lien "is not a claim against the landowner's general assets." *Id.* In such situations, the unpaid subcontractor is left uncompensated. This stands in distinction to "damages," where the claimant receives a compensatory award enforceable by execution or garnishment. D. Dobbs, *Handbook on the Law of Remedies*, Sections 1.3, 10-11; 3.1, 135 (1973) [hereinafter D. Dobbs]. This limitation also underscores that the claimant is awarded specific relief, in a defined fund.

3. Petitioner Fails To Demonstrate That An Equitable Lien Is "Damages"

Petitioner apparently does not dispute Respondent's characterization of the equitable lien as a limited security device. See Br. in Opp. 7, n. 6 (where Respondent demonstrates that the lien does not extend to the landowner's general assets, and cannot exceed the landowner's retained funds). Nevertheless, Petitioner argues that Blue Fox's contract was with Verdan, not the Army, and "by requiring

the government to pay when Verdan did not, the Ninth Circuit provided precisely the sort of 'substitute' performance barred as money damages under the APA." Pet. Br. 28. That misreads Blue Fox's theory, however, because it denies the existence of the equitable rights which *Henningsen*, *Pearlman* and its progeny recognize as inhering in retained funds for the subcontractor's benefit. Absent that body of law, ordering that the Army pay as a "substitute" for Verdan's failure to pay perhaps *could* be compensation for a loss. But, under that theory, liability would extend to the government's (or owner's) general assets, and would remedy the subcontractor's full loss, even where no contract balance remained. The existence of those limitations makes crystal clear that the equitable lien is not "money damages."[2]

a. Dissipation of Contract Monies Did Not Create a "Money Damages" Claim

Apparently conceding the power of this distinction, Petitioner asserts that the "very fund" to which the lien attached "no longer exists." Pet. Br. 30, n. 13. As a consequence, Petitioner argues that Respondent seeks a "substitute remedy" barred as "money damages" under *Bowen*. This argument fails for several reasons.

First, federal courts have consistently held that, when

[2]Noting that Respondent's Complaint sought interest, Petitioner states that "[p]resumably the interest was intended to compensate plaintiff for the lost use of the funds." Pet. Br. 28, n. 11. However, if the fund is the "very thing" to which a claimant is entitled, so should the expanded fund due to interest. As Professor Dobbs states, "[t]he trust or lien may attach to the fund or account even if the fund has grown through dividends or interest or identifiable earnings or savings. [footnotes omitted]. Because the fund is the plaintiff's its product is the plaintiff's in the same way that when the plaintiff owns the cow he also owns the calf." 1 D. Dobbs, *supra*, at 5, n.5.

the government pays out funds while on notice of a surety's claim of lien, it does so at its peril. See *Newark Ins. Co. v. United States*, 169 F. Supp. 955, 957 (Ct. Cl. 1959) ("[s]urely a stakeholder, caught in the middle between two competing claimants, cannot, if effect, decide the merits of their claims by the mere physical act of delivering the stake to one of them."); *Home Indem. Co. v. United States*, 376 F.2d 890 (Ct. Cl. 1967) ("the Government had no right as a stakeholder to settle the question unilaterally by paying the fund to the contractor."); *Transamerica Premier Ins. Co., v. United States*, 32 Fed. Cl. 308-314 (1994) ("where the government has on hand contract funds owing for work done and is alerted . . .to the possibility of unpaid materialmen's claims. . . it may not dispense those funds to the contractor--at least not without running the distinct risk of having to pay twice."). See also Brief Amicus Curiae of The Surety Assoc. of America [Supporting Neither Party] at 18-19, Part D. ("The Army Could Not Decide the Competing Claims of Blue Fox and Verdan by Paying the Wrong Party), and authorities cited therein.[3] Petitioner's argument is inconsistent with these settled authorities.[4]

[3]See also the Army attorney's concession to the Ninth Circuit: ("once the government's on notice, then if the government goes ahead and pays contract funds to the defaulting general contractor, then they run the risk of paying twice."). See Br. in Opp. 21-22, n. 23, quoting Transcript of Oral Argument by Government Counsel (lodged with the Supreme Court Clerk), [hereinafter Transcript] at 7-8.

[4]Petitioner seeks to distinguish *Prairie State Bank*, *Henningsen* and *Pearlman* as "contests between private parties over funds as to which the United States has disclaimed any ownership, and had transferred out of the Treasury." Pet. Br. 37. However, as *Newark Ins. Co.* and its progeny demonstrate, the United States becomes a "stakeholder" of any funds which are due and payable under the contract once on notice of liens to remaining funds. See Amicus Brief of the Surety Assoc. of America [Supp. Neither Party] at 6-7 and authorities cited therin. That result should not turn on the physical presence of the funds, inside or outside the Treasury. As this Court has

Second, there is no reasoned basis to limit this doctrine to sureties. Indeed, the Second Circuit has enforced this rule in the distinct case of an unpaid subcontractor. As the court stated:

> One might argue that because Active never sought an injunction preventing USPS from making any payments pending the disposition of this lawsuit it is effectively estopped from arguing that its position has eroded over time. This argument must fail. When USPS became aware of Active's claim, it was placed on notice of the possibility of a recovery against it. It also should have recognized the risk that it faced if

acknowledged in other circumstances, private claimants may hold an equitable interest on monies in the Treasury. See *Houston v. Ormes*, 252 U.S. 469, 474 (1920) (recognizing an equitable lien for attorneys fees upon a $1,200 fund, held in the Treasury, appropriated to pay the attorney's client); *Mellon v. Orinoco Iron Co.*, 266 U.S. 121 (1924) (recognizing claimant's equitable right in a $56,250 fund, held in the Treasury, which was received by the Secretary of State from Venezuela in satisfaction of claimant's claim). Nor does the fact that the government continued to possess the liened funds serve to invalidate the unpaid subcontractor's lien. Thus, in *Armstrong v. United States*, 364 U.S. 40, 46 (1960), the Court held that conveyance to the government of a defaulting contractor's title to boat hulls did not invalidate subcontractors' prior liens. As the Court stated, "[a]fter transfer to the United States, the liens were still valid, *United States v. Alabama*, 313 U.S. 274, 281-282 (1941), but they could not be enforced because of the sovereignty of the Government and its property from suit [footnote omitted]." Similarly, in *United States v. Alabama, supra*, the Court recognized that Alabama had a valid tax lien, albeit unenforceable, in land held by the United States. As the Court stated, "we perceive no reason why the United States, albeit protected with respect to proceedings against it without its consent, should stand, so far as the existence of the liens is concerned, in any different position from that of other purchasers of lands in Alabama who take conveyances on and after the specified tax date." *United States v. Alabama, supra*, at 282.

> it paid the money out to other parties. USPS cannot complain that Active did not try to prevent it from taking that risk.

Active Fire Sprinkler Corp., 811 F.2d at 757.[5]

Third, this result is especially compelling as to funds paid out after Blue Fox filed suit to enjoin transfer.[6] This Court has held that a party cannot "moot" a case through such conduct. See *Porter v. Lee*, 328 U.S. 246, 251 (1945) ("[i]t has long been established that where a defendant with notice in an injunction proceeding completes the acts sought to be enjoined the court may by mandatory injunction restore the *status quo*."); accord *Porter v. Warner Holding Co.*, 328 U.S. 395, 399, n.2 (1946); *Texas & N.O.R. Co. v. Northside Belt Ry. Co.*, 276 U.S. 475, 479 (1928). Restoring the *status quo*, on these facts, would provide Respondent the "very thing" to which it is entitled. *Bowen*, 487 U.S. at 895.

[5]Thus, it is no answer to assert that Respondent never sought preliminary relief. Pet. Br. 30, n. 13. An injunction "is not a remedy which issues as of course...." *Weinberger v. Romero-Barcelo*, 456 U.S. 305, 310 (1981) quoting *Harrisonville v. W.S. Dickey Clay Mfg. Co.*, 289 U.S. 334, 337-339 (1933). The district court would have denied preliminary relief in any event, since it eventually dismissed the case for lack of jurisdiction. Pet. App. 30a ("The court concludes that it does not have jurisdiction to determine the claim of Blue Fox against the Army."). Even if an injunction had issued, it would have dissolved upon dismissal, and the Army could have "paid out the monies to which the lien attached," Pet. App. 12a, at that point.

[6]In its Complaint, Blue Fox prayed *inter alia* "for an injunction enjoining Defendants from paying any further moneys under Contract Number DAEA08-93-C-0056 [the Verdan contract], or making any payments from funds available or appropriated for a follow-on contract for completion of the Umatilla Army Depot Electronic Switching System project, until Plaintiff's unpaid bill is satisfied." Pet. App. 40a.

Fourth, the holding in *City of Houston v. HUD*, 24 F.3d 1421, 1428 (D.C. Cir. 1994) does not change this result. In that case, because funding had lapsed, the court found that "an award of monetary relief from any other source ... would constitute money damages." *City of Houston, supra*, at 1428. However, *City of Houston* involved *expired* budget authority; the court found that the case "was mooted by the expiration of the relevant appropriation...." *Id.* at 1426. Here, however, no appropriation "lapse" has been alleged, let alone identified by Petitioner. In any event, the court's statement that "unobligated funds revert back to the Treasury," *Id.* at 1426, appears inconsistent with current law, under which unobligated balances retain their fiscal identity in an expired account for five years.[7] In any event, Congress

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[7]See Pub. L. No. 101-510, 104 Stat. 1485 (1990) (relevant law beginning at 1675), codified at 31 U.S.C. 1551-1557.

31 U.S.C. 1552(a) provides:

> On September 30th of the 5th year after the period of availability for obligation of a fixed appropriation account ends, the account shall be closed and any remaining balance (whether obligated or unobligated) in the account shall be canceled and thereafter shall not be available for obligation or expenditure for any purpose.

31 U.S.C. 1553(a) provides:

> After the end of the period of availability for obligation of a fixed appropriation account and before the closing of that account under section 1552(a) of this title, the account shall retain its fiscal-year identity and remain available for recording, adjusting and liquidating obligations properly chargeable to that account.

Thus, these balances remain with the federal agencies and are available

has provided that lawsuits and "rights of action" remain unaffected by any provision of law requiring return of expired balances to the general fund of the Treasury.[8] Thus, the $84,910.52, transferred to DCI for completion of the Verdan contract work and "other work," remains subject to Respondent's lien.[9]

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to liquidate obligations and effect adjustments. See generally, United States General Accounting Office, Principles of Federal Appropriation Law, 5-57 et seq (1994).

[8]31 U.S.C. 1502(b) provides:

> A provision of law requiring that the balance of any appropriation or fund be returned to the general fund of the Treasury at the end of a definite period does not affect the status of lawsuits or rights of action involving the right to an amount payable from the balance.

See also *West. Va. Ass'n of Community Health Ctrs. v. Heckler*, 734 F.2d 1570, 1576 (D.C. Cir. 1984) ("an equitable doctrine has been fashioned by the federal courts in recent years to permit funds to be awarded to a deserving plaintiff even after the statutory lapse date, as long as the lawsuit was instituted on or before that date. [citation omitted] The doctrine has been likened to the equitable principles of constructive trust and equitable lien [citation omitted]."); see also Principles of Federal Appropriations Law, *supra*, 5-71 ("As long as the suit is filed prior to the expiration date, the court acquires the necessary jurisdiction and has the equitable power to 'revive' expired budget authority, even where preservation is first directed at the appellate level.").

[9]Respondent's suit was filed May 11, 1995. J.A. 1. On July 27, 1995, the Army issued "Modification P0006 to the DCI contract . . . for $126,772.78." Choate Aff., par. 13, J.A. 61; J.A. 41. "The Army paid for this modification by transferring the $84,910.52 left on the Verdan contract to the DCI contract. The balance was paid from other sources." Choate Aff. par. 14, J.A. 61. Since suit was filed more than two months prior to transfer, the $84,910.52 remains subject to Blue Fox's lien.

Lastly, payment to inferior claimants should not deplete the fund so as to prevent payments of available and appropriated funds to authorized recipients. Even assuming *arguendo* that the specific liened fund "no longer exists," that would be so only because the current state of bookkeeping entries[10] reflects authorized payments to Verdan and DCI. Once a reviewing court determines that continued payment to the prime contractor was arbitrary and capricious, or an abuse of discretion,[11] those payments should not be considered authorized. See also *Bausch & Lomb Optical Co. v. United States*, 78 Ct. Cl. 584, 607, cert. denied, 292 U.S. 645 (1934) ("Agents and officers of the Government have no authority to give away the money or property of the United States, either directly or under the guise of a contract that obligates the Government to pay a claim not otherwise enforceable against it.").

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[10]As Professor Dobbs has remarked, "It is sometimes said that money has no earmarks, meaning that specific monies cannot ordinarily be identified as the plaintiff's. But most of what passes for 'money' today is nothing more than a bookkeeping allocation in any event, and the law generally treated bookkeeping entries--accounts--as identified monies in many circumstances...." 2 D. Dobbs, *supra*, at 13, n.10.

[11]Where liens are asserted by sureties, the courts allow government officials discretion in deciding whether to continue paying the prime contractor, where work remains. See *Balboa Ins. Co. v. United States*, 775 F.2d 1158, 1164-1165 (Fed. Cir. 1985) (articulating eight factors to consider "in determining whether the Government has exercised reasonable discretion in distributing funds."). The reviewing court decides if the determination was arbitrary and capricious, or an abuse of discretion. *Id.*; see also *Argonaut Ins. Co. v. United States*, 434 F.2d 1362, 1368 (Ct.Cl. 1970); see also Br. Am. Surety Assoc. of America at 6-7, and authorities therein.

b. Petitioner's Remaining "Damages" Arguments Misapprehend Respondent's Claim

Petitioner's remaining discussion of *Bowen's* damages/specific relief distinction misses the mark, as it is directed at relief which Respondent is *not* seeking. For example, Petitioner asserts that "money damages" would result if the Army's liability stemmed from its failure to ensure that a Miller Act bond was posted. Pet. Br. 24; 27-28. But that misreads Respondent's claim. The rights Blue Fox asserts are *not* based upon the failure to ensure that a bond was in place. Granted, Respondent pleaded that Petitioner failed to ensure that a Miller Act payment bond was furnished. Pet. App. 37a. That failure, including the government's "conscious avoidance of the Miller Act requirements," Pet. App. 13a, n.6, enters into the equitable equation. Cf. *In Re Pyramid Industries, Inc.*, 210 B.R. 445, 456 (N.D. Ill. 1997) ("[w]here the United States has failed to insure the proper protection to subcontractors directed by the statute, the equities favor the unpaid subcontractors...."). It is not, however, the source of Respondent's rights. Thus, cases refusing Federal Tort Claims Act relief to unpaid subcontractors are inapplicable. Pet. Br 26, n. 9.[12] Similarly, Respondent's theory is *not* that the Miller Act implies a private right of action. Thus, Petitioner's observation that "the Miller Act imposes no substantive obligation to pay federal funds to subcontractors" (Pet. Br. 25) is also beside the point.

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[12]One such case supports Respondent's position that an equitable lien is not money damages. See *Westbay Steel, Inc. v. United States*, 970 F.2d 648, 651 (9th Cir. 1992) (Since FTCA only permits money damage awards, "there is no jurisdiction under the FTCA to award an equitable lien.").

C. The Appropriations Clause Does Not Bar Relief

Enforcement of Respondent's equitable lien does not raise an Appropriations Clause issue. The Appropriations Clause, U.S. Const. art. I, § 9, cl. 7 provides: "No Money shall be drawn from the Treasury, but in Consequence of Appropriations made by Law * * * ." Relying on that Clause, this Court in *OPM v. Richmond*, 496 U.S. 414, 432 (1990), refused to apply the doctrine of equitable estoppel to require the government to make payments to a claimant otherwise statutorily ineligible. In *Richmond*, to award respondent the relief he requested would be to force the government, because of misstatements by a benefits eligibility counselor, to pay the respondent funds that Congress had specifically rendered unavailable to persons at his income level. Congress had amended the statute to deny eligibility to persons in Mr. Richmond's position. For the agency to pay Mr. Richmond would violate specific statutory prohibitions. *Id.*, at 432 ("[h]ere, the relevant statute *by its terms* excludes respondent's claim....") (emphasis added). *Richmond* thus stands for the proposition that federal courts may not force federal agencies to overreach their statutory authority in paying relief out of the public fisc.

The instant case stands in stark contrast to *Richmond*. Here, no statute prohibits the government from paying unexpended contract monies to an unpaid subcontractor. To the contrary, voluntary payments to subcontractors have been encouraged both by the courts and the General Accounting Office.[13] The Court of Claims has repeatedly urged the

[13]When GAO was established by the Budget and Accounting Act of 1921, the Comptroller General was given broad claim settlement jurisdiction. "Except as provided in this chapter or another law, the Comptroller General shall settle all claims of or against the United States government." 31 U.S.C. 3702(a). Pub. L. No. 104-53, 109 Stat. 514, 535 (1995) transferred the claims settlement function of the General Accounting Office to the Office of Management and Budget effective June 30, 1996. For seventy-five years, the Comptroller General issued decisions on claims against the United States. The settlement function included determination of whether an appropriation is legally available for making payment. 18 Comp. Gen 285, 292 (1938). These cases have value as precedent and include decisions authorizing payment to sureties and subcontractors. See Principles of Federal Appropriations Law, *supra*, pp. 12-89 to 12-99 (1994).

government, where possible, to voluntarily pay its subcontractors because it has an obligation (albeit unenforceable in the Court of Claims) to do so. See *United Elec. Corp. v. United States*, 647 F.2d 1082, 1087 (Ct. Cl.), cert. denied, 454 U.S. 863 (1981) ("[a]s we have done before, we stress that the United States may choose to make payment.").[14]

[14]The Court of Claims has remarked that a subcontractor lacks standing to sue the government. See *United Electric Corp. v. United States*, 647 F.2d 1082, 1087 (Ct. Cl.), cert. denied, 454 U.S. 863 (1981) ("United has no standing to sue the United States for recovery of its compensation."; *United States Fidelity & Guar. Co. v. United States*, 475 F.2d 1377, 1382 (Ct. Cl. 1973) ("the Court declines to grant the subcontractors' standing to sue for the amount retained by the Government under the contract."). However, Petitioner has not raised a standing argument here, apparently because the APA clearly provides standing to bring suit. Thus a parallel exists to cases involving disappointed bidders under federal contracts. It was once settled that an unsuccessful bidder had no standing to challenge the legality of the bidding procedure. *Perkins v. Lukens Steel Co.*, 310 U.S. 113 (1940); *Edelman v. Federal Housing Administration*, 382 F.2d 594, 597 (2d Cir. 1967) ("Bidding procedures are for the public benefit generally and confer no private rights on the bidder.") However, in *Scanwell Laboratories, Inc. v. Shaffer*, 424 F.2d 859 (D.C. Cir. 1970), the court stated that "[t]he law of standing was greatly modified by the passage of the Administrative Procedure Act [citing 5 U.S.C. 702 (Supp. IV 1965-68)]," *Scanwell, supra*, at 865, and upheld a disappointed bidder's standing to challenge an award of government contract as arbitrary and capricious. In terms of standing, it makes little sense to define the class of those injured by arbitrary or capricious government action to include disappointed bidders, but exclude

More importantly, the General Accounting Office--Congress's own accounting arm--has approved payments from unexpended contract balances to both sureties and unpaid subcontractors. See B-190144, Comp Gen. 176, 178 (1977) ("[w]e recognize, however, that Wilson [the unpaid subcontractor] may have an equitable claim to the contract retainage of $7,033. * * * Therefore, we recommend that the Navy take steps to assure that the rights of all parties are adequately determined prior to any payment from the contract retainage."). See also *Id.* at B-218813, April 9, 1986 ("[a]lthough there is no privity of contract between the United States and the subcontractors so as to warrant settlement of their claims by the Government, both this Office and the courts have recognized that the Government has a nonenforceable equitable obligation to see that subcontractors are paid.").[15]

Petitioner nevertheless argues that the Appropriations Clause requires a "substantive right to compensation based on the express terms of a specific statute" before money can be paid to Respondent. Pet. Br. 17 quoting *Richmond*, 496 U.S. at 432. Petitioner's argument, however, seeks to extend *Richmond's* language far beyond its facts. *Richmond* said nothing whatsoever about payment from unexpended federal

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unpaid subcontractors. Indeed, as Blue Fox's current plight aptly demonstrates, subcontractors' interests are even more directly affected by lawless governmental conduct.

[15]Even if this Court determines that payment to Respondent is "money damages," Respondent would still be entitled to injunctive relief with prospective effect. See Am. Br. for the Surety Assoc. of America at 23-28. For the reasons and authorities stated therein, the district court had jurisdiction in any event to enter an order preserving the contract balance for any reason other than project completion and payment of Blue Fox. This would include preservation of the contract balance pending a request for claim settlement advice from the General Accounting Office (or its successor, the Office of Management and Budget.)

contract balances. Nor did *Richmond* interpret Section 702; it said nothing about what constitutes relief "other than money damages." To the contrary, *Richmond* concerned *money damages* entitlement. Indeed, *Richmond*'s insistence "on a substantive right to compensation based on the express terms of a specific statute" relies for its very support "on our leading case on jurisdiction over claims against the Government, *United States v. Testan*, 424 U.S. 392 (1976)." *Richmond*, 496 U.S. at 432. *Testan*, of course, sets the rules for determining whether *money damages* are available in the Court of Federal Claims. This provides little help in resolving what constitutes relief *other than* money damages.

D. Section 702 Is Not Limited To Claims Enforcing Statutory Mandates

1. Nothing in the APA, Its Legislative History, nor in *Bowen*, Is So Limiting

Petitioner argues that *Bowen* claims should be limited to those seeking to enforce a statutory entitlement to money. See Pet. Br. 23. ("[T]he claim [in *Bowen*], the Court explained, merely sought 'to enforce the statutory mandate itself, which happens to be one for the payment of money. [*Bowen*,] 487 U.S. at 900. The same cannot be said of respondent's suit here."). However, nothing in *Bowen*, the APA, or its legislative history supports such a restriction.

To be sure, the claimant in *Bowen* sought to enforce rights to money created by a statute. At issue, however, was the government's request that this Court "substitute the words 'monetary relief' for the words 'money damages' actually selected by Congress." *Bowen*, 487 U.S. at 896. The *Bowen* Court rejected that argument and, in the process, rejected Petitioner's current argument as well. Quoting the legislative

history, the Court stated that Congress intended to "'eliminate the sovereign immunity defense in *all equitable actions for specific relief* against a Federal agency or officer acting in an official capacity.'" quoting *Maryland Dep't of Human Resources v. HHS*, 763 F.2d 1441, 1444 (D.C. Cir. 1985), quoting in turn H.R. Rep. No. 1656, 94th Cong., 2d. Sess. 9 (1976); S. Rep. No. 996, 94th Cong., 2d Sess. 8 (1976); U.S. Code Cong. & Admin. News 1976, p. 6129 (emphasis in original). *Bowen*, 487 U.S. at 898-900. "That sweeping declaration strongly suggests that Congress intended to authorize equitable suits for specific monetary relief as we have defined that category." *Id.*[16]

As in *Bowen*, the government again seeks to replace the words "money damages," actually selected by Congress, with limiting words more to its liking. However, since Congress included no limitation for claims enforcing a "money-mandating statute," this Court should decline Petitioner's request to re-write the statutory text. As the *Bowen* Court stated, "only the most compelling reason could justify a revision of a statutory text that is this unambiguous." Id. at 896. Petitioner has provided none here. As the Ninth Circuit correctly concluded, therefore (and as Petitioner's attorney conceded to that panel), see Br. in Opp. 9-11, there is no requirement in *Bowen* or the APA that the specific relief requested be statutorily granted." Pet. App. 8a. Accord *Aetna Cas. & Sur. Co.*, 71 F.3d at 479 (2d Cir. 1995) ("[w]e see no reason why the duty to pay money should not be equally enforceable under the APA regardless whether the

[16]In the ten years since *Bowen* was decided, Congress has left its holding undisturbed, signaling its agreement with this Court's decision. *Bowen*'s stare decisis value is strong. See *Illinois Brick Co. v. Illinois*, 431 U.S 720, 736 (1977) ("we must bear in mind that considerations of stare decisis weigh heavily in the area of statutory construction, where Congress is free to change this Court's interpretation of its legislation.").

duty arises by statute, regulation, or operation of law.").[17]

2. An Equitable Lien Is Distinguishable From Back Pay

For several reasons, Petitioner's reliance on *Hubbard v. Administrator, EPA*, 982 F.2d 531 (D.C. Cir. 1992) (en banc) is misplaced.[18]

First, Petitioner's *Hubbard* discussion misreads the holding below. Petitioner states that, in part, "the Ninth Circuit read Section 702 as distinguishing between 'law' and 'equity.'" However, any such distinction is not apparent in the opinion. Rather, the court applied *Bowen*'s test for determining whether a claimant seeks relief "other than money damages" under Section 702. Pet. App. 7a. Finding

[17]Moreover, to limit *Bowen* as Petitioner suggests would further blur the line separating district court and Court of Federal Claims jurisdiction. Obviously, the "money mandating statute" which Petitioner posits as the *sine qua non* of monetary relief under Section 702, would also be an "Act of Congress" upon which Tucker Act jurisdiction could be based. See 28 U.S.C. 1491(a)(1) ("The United States Court of Federal Claims shall have jurisdiction to render judgment upon any claim founded either upon the Constitution, or any Act of Congress or any regulation of an executive department, or upon any express or implied contract with the United States, or for liquidated or unliquidated damages in cases not sounding in tort.") Under Petitioner's proposed limitation, district court jurisdiction under Section 702 would *necessarily* overlap Court of Federal Claims jurisdiction. It is unlikely that Congress intended such a result.

[18]In *Hubbard*, the plaintiff, whom EPA had wrongfully failed to hire, requested backpay along with instatement as part of an equitable remedy. A split panel of the D.C. Circuit concluded that back pay fell within the waiver of immunity for "relief other than money damages" in 5 U.S.C. 702. The *en banc* court found that Hubbard could not receive backpay "because Congress had not expressed an unequivocal intent to waive sovereign immunity for such relief." *Hubbard*, 982 F.2d at 532.

that "Blue Fox seeks an equitable lien only for the very thing to which it is entitled...." (i.e., specific relief), the court properly determined that Section 702 waives immunity. *Id.* Thus, much of Petitioner's *Hubbard* discussion is inapposite. See, e.g., Pet. Br. 31 ("'the line [S]ection 702 draws is not between actions at law and suits in equity.' *Hubbard*, 982 F.2d at 539 (Randolph, J., joined by R.B. Ginsburg, J., concurring). * * * ('What may qualify as an "equitable remedy" * * * is not synonymous with specific relief.')").

Second, *Hubbard* dealt with entitlement to backpay, a traditional compensatory remedy. ("[B]ack pay for someone in Hubbard's position has traditionally been understood at common law as 'damages,' not 'specific relief.'" *Hubbard*, 982 F.2d at 533. However, an equitable lien is not damages. See 2 D. Dobbs, *supra*, at 5 ("[a]n equitable lien is a lien placed upon specific funds or property to secure the plaintiff's rights to restitution in money." [footnote omitted]; 3 D. Dobbs, *supra*, at 9 ("[r]estitutionary recoveries are based on the defendant's gain, not on the plaintiff's loss. Restitution is thus distinct from damages, which measures compensation for loss rather than disgorgement of the defendant's gain.").

Third, unlike Hubbard, Blue Fox invested time and materials. In *Hubbard*, however, the plaintiff never performed any work. His claim was for "loss of income attributable to Hubbard's being denied the job...." *Hubbard*, 982 F.2d at 533. The court noted the result may well have been different had the plaintiff performed work for which he was not paid. ("We do not suggest that back pay must always be viewed as money damages and can never be properly categorized as specific relief. If Hubbard had been hired by the EPA and worked for the agency for a year without being paid, his legal claim might well be viewed differently. In that case, the money that Hubbard had a right to receive in exchange for his labor might well be the very thing that was taken from

him.") Id. at 533, n.4 .[19]

Lastly, the existence of a lienable fund distinguishes the backpay case. In the case below, the court merely redirected existing funds to the unpaid subcontractor, based upon longstanding equitable rights. No such fund existed in *Hubbard*.

II. RESPONDENT'S SUIT SEEKS JUDICIAL REVIEW OF AGENCY ACTION

Petitioner argues that an equitable lien action is not subject to APA review. According to Petitioner, the waiver of immunity in the 1976 amendment to the APA "is limited to the traditional forms of action that seek 'judicial review' of 'agency action,'" Pet. Br. 42, which exclude equitable lien actions. This argument fails.

First, this argument was not raised below. Petitioner correctly notes that neither the Ninth Circuit nor Respondent "attempted to explain how assertion of an 'equitable lien' claim is a suit for 'judicial review.'" Pet. Br. 43. However, until its brief on the merits to this Court, Petitioner never raised that point. Thus, this argument is not properly before the Court. See S. Ct. Rule 14.1(a) ("only the questions set out in the Petition or fairly included therein will be considered by the Court.) See also *Youakim v. Miller*, 425 U.S. 231, 234 (1976) ("[o]rdinarily, this Court does not

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[19] In like manner, the focus of Judge Randolph's concurring opinion (in which then Circuit Judge R.B. Ginsburg joined) was that Hubbard lost *the opportunity* to earn wages (as opposed to the wages themselves). The concurring opinion's first sentence summarized its rationale: "If Hubbard prevails, the Government will have to pay him money to make up for *the wages he never earned*." (emphasis added).

decide questions not raised or resolved in the lower courts.").[20]

Second, Blue Fox *does* seek review of "agency action" as defined in the APA. The Army is an "agency."[21] Respondent alleges "agency action."[22] That action includes the Army's continued payment of contract funds ($86,132.33 to Verdan (J.A. 34) and $84,910.53 to DCI (J.A. 61), after Blue Fox requested "suspension or reduction of payment ...by your agency." (J.A. 33)). This constitues "relief"[23] as defined

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[20]In its Petition for Certiorari, the Army set out the following question: "Whether 5 U.S.C. 702 permits respondent to bring an action in federal district court for an 'equitable lien' against the government to recover the amounts owed to respondent by the primary contractor." Pet. for Cert. I. Petitioner *did* state that "the Ninth Circuit majority did not identify the 'agency action' that allegedly caused respondent to suffer 'legal wrong' or 'adversely affected' respondent within the meaning of the relevant statute, 5 U.S.C. 702 -- and therefore did not even identify what agency action was being subjected to judicial review --." Pet for Cert. 20. However, Petitioner did *not* raise the argument that Section 702's waiver "is limited to the traditional forms of action that seek 'judicial review' of 'agency action.'" Pet. Br. 42.

[21]5 U.S.C. 551(1) provides.

"For the purpose of this subchapter--

(1) 'agency' means each authority of the Government of the United States, whether or not it is within or subject to review by another agency, but does not include * * *"

[22]5 U.S.C. 551 (13) provides:

"'agency action' includes the whole or a part of an agency rule, order, license, sanction, relief, or the equivalent or denial thereof, or failure to act; "

[23]5 U.S.C. 551(11) provides:

"'relief includes the whole or a part of an agency--

(A) grant of money, assistance, license, authority, exemption, exception, privilege, or remedy;

(B) recognition of a claim, right, immunity, privilege, exemption, or exception; or

in 5 U.S.C. 551(11). The Army's "fail[ure] to act" constituted "agency action." 5 U.S.C. 551(13). Having thus "suffer[ed] legal wrong because of agency action," Respondent is "entitled to judicial review thereof." 5 U.S.C. 702. Thus, Petitioner's argument is not applicable to these facts.

Third, in any event, Section 702 waives sovereign immunity in *all* non-damages actions seeking relief from official misconduct, even if not technically defined in Section 551(13).[24] After an exhaustive review of the legislative history to the 1976 Amendments to the APA, the court came to just this conclusion in *Presbyterian Church v. United States*, 870 F.2d 518 (9th Cir. 1989). The court noted that

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(C) taking of other action on the application or petition of and beneficial to, a person."

[24]This conclusion is reinforced by the fact that, in passing the 1976 amendment to the APA, Congress intended to waive sovereign immunity in so-called "nonstatutory" cases. Cf. *Jaffee v. United States*, 592 F.2d 712, 718 (3rd Cir. 1979) (stating that legislative history to the 1976 Amendment to the APA "notes that acts of the older executive departments, such as the Department of Defense, are subject to judicial review only through 'nonstatutory' suits under [S]ection 1331. ...[t]hese suits are called 'nonstatutory' because they are not brought under the statutes that specially provide for review of agency action. *See* H.R. Rep. No. 94-1656, 94th Cong., 2d Sess. 5, *reprinted in* [1976] U.S. Code Cong. & Admin. News, pp. 6121, 6125. In these instances, judicial review is available, if at all, through actions involving matters which arise 'under the Constitution, Laws, or treaties of the United States' as provided in [S]ection 1331(a) of title 28. *Id.*") To limit Section 702 review to only "agency action" as defined in Section 551(13) would be inconsistent with Congress' desire to grant judicial review of the conduct of the older executive agencies. Moreover, the fact that Congress intended to allow "nonstatutory" review also makes it less likely that it intended that there be a statutory prerequisite to the issuance of specific monetary relief.

"[n]othing in the language of the amendment suggests that the waiver of sovereign immunity is limited to claims challenging conduct falling in the narrow definition of 'agency action.'" *Id.* at 525. Moreover, referring to the legislative history, the Court stated that Congress intended to do away with the need for fictions with which to circumvent sovereign immunity. As the Court stated, "Congress' plain intent in amending § 702 was to waive sovereign immunity for all such suits, thereby eliminating the need to invoke the *Young* fiction." *Id.* at 526.[25] See also *Chrysler v. Brown*, 441 U.S. 281 (1979) (decision to disclose trade secret information is "agency action" under Section 10 of the APA.").

III. RELIEF UNDER SECTION 702 IS NOT IMPLIEDLY FORBIDDEN BY OTHER STATUTES

A. The Tucker Act Does Not Impliedly Forbid Enforcement Of An Equitable Lien

Petitioner argues that the Tucker Act "impliedly forbids" the relief Respondent seeks. The government relies for support upon the final sentence of Section 702: "Nothing herein • • • confers authority to grant relief if any other statute that grants consent to suit expressly or impliedly forbids the relief which is sought." 5 U.S.C. 702.

However, the Tucker Act does not grant consent *to*

[25]Petitioner states that the *Presbyterian Church* ruling is inconsistent with this Court's decision in *Lujan v. Defenders of Wildlife*, 497 U.S. 871 (1990). Pet. Br. 43-44, n.23. However, *Lujan* did not reach the issue Petitioner raises. As the Court stated, "[a]s for the 'agency action' requirement, we think that each of the affidavits can be read, as the Court of Appeals believed, to complain of a particular 'agency action' as that term is defined in [S]ection 551." *Id.* at 885.

Respondent's suit. In *Katz v. Cisneros*, 16 F.3d 1204 (Fed. Cir. 1994), the Federal Circuit[26] rejected Petitioner's very argument, in the context of a developer's action to compel HUD to perform calculation of contract rents in accordance with regulations. As here, the government argued that the Tucker Act impliedly forbade the relief. However, in finding no implied preclusion, the court stated:

> The prerequisite to this prohibition, however, is that the statute which forbids the relief sought 'grants consent to suit,' 5 U.S.C. § 702, in this case that some relief be available in the Court of Federal Claims under the Tucker Act. But, as we have discussed, no relief is available in the Court of Federal Claims here because the case challenges the interpretation of law which controls payment to Hollywood Associates. It is not a contract case. Hollywood Associates does not seek declaratory relief in the performance of a contract, but seeks judicial interpretation of a federal regulation.

Id. at 1209; see also *id.* at 1210 ("[t]his analysis also answers the question whether the Tucker Act impliedly forbids relief under the APA. It does not because it does not cover this situation.").

Similarly, the Tucker Act "does not cover [Respondent's] situation." *Id.* There are several reasons why this is so. *First*, Respondent seeks to enforce rights which arise by operation of law. See *Pearlman*, 371 U.S. at 132,

[26]Under the Federal Court Administration Act of 1992, 28 U.S.C. 1292(d)(4)(A) the United States Court of Appeals for the Federal Circuit was given exclusive jurisdiction of appeals from a district court granting or denying a motion to transfer an action to the Unted States Court of Federal Claims.

n.12 ("[t]he right of subrogation is not founded on contract. It is a creature of equity."); see also *Ormes*, 252 U.S. at 474 (1920); *Armstrong*, 364 U.S. at 46 (liens of federal subcontractors "attached by operation of law"). As such, its claim does not fall within the Tucker Act, since it is not "founded either upon the Constitution, or any Act of Congress or any regulation of an executive department, or upon any express or implied contract with the United States, or for liquidated or unliquidated damages in cases not sounding in tort," 28 U.S.C. 1491(a)(1).[27]

Respondent's suit, like *Katz*, "is not a contract case." *Katz*, 16 F.3d at 1209. Since Respondent does not have a contract with the United States, it lacks privity of contract, "an indispensable prerequisite for standing to sue in the Court of Federal Claims under the Tucker Act." *National Leased Housing Ass'n v. United States*, 105 F.3d 1423, 1435 (Fed. Cir. 1997); see also *Erickson Air Crane Co. of Washington, Inc. v. United States*, 731 F.2d 810, 813 (Fed. Cir. 1984) (privity of contract does not exist between the government and its subcontractors).[28]

Nevertheless, Petitioner states that "If the prime

[27]Respondent does not allege an implied in law contract under the Tucker Act. Thus, the authorities cited at page 49 of Petitioner's Brief are inapposite. Those cases restrict the Tucker Act jurisdiction of Court of Federal Claims (or its predecessor courts) to exclude claims based upon a contract implied in law. They say nothing about the reach of Section 702's waiver of sovereign immunity for claims "other than money damages" in federal district courts.

[28]In any event, the remedy Respondent seeks -- an equitable lien -- is beyond the Court of Federal Claims' jurisdiction which, with exceptions not here applicable is limited to claims for money damages. *United States v. King*, 305 U.S. 1, 4 (1969) ("cases seeking relief other than money damages from the Court of Claims have never been 'within its jurisdiction.' quoting The Declaratory Judgment Act, 28 U.S.C. 2201.)

contractor, which is in privity with the government, cannot enforce its right to payment by seeking 'specific performance' under the APA, it should follow *a fortiori* that a subcontractor, which is not in privity, cannot do so either." Pet. Br. 48-49. That argument, however, misreads the premise for impliedly precluding contractors from APA relief. If aggreived by government action, contractors have a damages remedy in the Court of Federal Claims.[29] As the court stated in *Megapulse, Inc. v. Lewis*, 672 F.2d 959, 967 (D.C. Cir. 1982), "to allow suit against the United States under the APA in actions actually based on contract would create such inroads into the restrictions of the Tucker Act that it would ultimately result in the demise of the Court of Claims." However, where --as here-- the source of rights is other than contract, district court jurisdiction is proper. *Id.* at 971. ("It is clear to us that Megapulse has not brought a contract action or an otherwise disguised claim for monetary relief. * * * This action was properly brought under the APA, and injunctive relief, preliminary or permanent, is available in the district court."). *North Side Lumber Co. v. Block*, 753 F.2d 1482, 1486 (9th Cir. 1985) (no Tucker Act implied preclusion of timber contractors' claim based upon extra-contractual statutory obligations).

B. The Miller Act Does Not Impliedly Forbid Enforcement Of An Equitable Lien

Petitioner argues that "[t]o the extent the Tucker Act does not bar relief, the Miller Act does." Pet. Br. 49, n.27. However, that argument has been considered and rejected by at least three circuit courts of appeal. This Court should

[29]An alternative forum is available before agency boards of contract appeals under the Contract Disputes Act of 1978, 41 U.S.C. 601 et seq. Like the Court of Federal Claims, the boards' jurisdiction does not extend to granting general equitable relief.

reject it as well.

In *Active Fire Sprinkler*, the government argued that the incorporation of a Miller Act remedy into the Postal Reorganization Act, 39 U.S.C. 410(b)(4)(B) "evidences Congress's intent that the Miller Act provide the only remedy for subcontractors, laborers and suppliers." *Active Fire Sprinkler*, 811 F.2d at 752. Relying on *Pearlman*, the court rejected that argument, stating "the Miller Act does not evidence an intent to eliminate any rights that subcontractors might possess." *Id.* at 753. That Congress did not impliedly preclude subcontractor rights is apparent in the following language from *Pearlman*:

> It is argued that the Miller Act [footnote omitted] changed the law as declared in the *Prairie Bank* and *Henningsen* cases. We think not. Certainly no language of the Act does, and we have been pointed to no legislative history that indicates such a purpose. The suggestion is, however, that a congressional purpose to repudiate the equitable doctrine of the two cases should be implied from the fact that the Miller Act required a public contract surety to execute two bonds instead of the one formerly required. * * * Neither this slight difference in the new and the old Acts nor any other argument presented persuades us that Congress in passing the Miller Act intended to repudiate equitable principles so deeply imbedded in our commercial practices, our economy, and our law as those spelled out in the *Prairie Bank* and *Henningsen* cases.

Pearlman, 371 U.S. at 139-40 . See also *Wright*, 29 F.3d at 1431 ("[s]ince the plain language of the Miller Act relates only to the creation of a remedy for subcontractors as against sureties, as we construe it, it does not limit [the subcontractor]'s rights vis-a-vis the government herein."). Accord *Kennedy Elec.*, 508 at 957.

Petitioner cites several cases stating that subcontractors cannot sue the government. But those precedents are nothing more than sovereign immunity bars. Because immunity has been waived, those authorities--no matter how extensive or well-settled earlier-- no longer bar federal court jurisdiction.[30]

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[30]This Court's statement in *United States v. Munsey Trust Co.*, 332 U.S. 234, 241 (1947) that "[n]othing is more clear than that laborers and materialmen do not have enforceable rights against the United States for their compensation" should not prevent jurisdiction of this case.

First, irrespective of the state of the law in 1947, Congress in 1976 "eliminate[d] the sovereign immunity defense in *all equitable actions for specific relief* against a Federal agency or officer acting in an official capacity." *Bowen*, 487 U.S. at 898-900, quoting *Maryland Dep't of Human Resources v. HHS*, 763 F.2d 1441, 1444 (D.C. Cir. 1985), quoting in turn H.R. Rep. No. 1656, 94th Cong. , 2d Sess. 9 (1976); S. Rep. No. 996, 94th Cong., 2d Sess. 8 (1976), U.S. Code Cong. & Admin. News 1976, p. 6129. (emphasis in original). As *Bowen* noted, there is a "well-settled presumption that Congress understands the state of existing law when it legislates, see e.g. *Cannon v. Univ. of Chicago*, 441 U.S. 677, 697 (1979)." Bowen, *supra*, at 696. Presumably aware that sovereign immunity barred subcontractor suits, Congress said nothing in Section 702 to exclude such suits from its reach.

Second, in *Pearlman*, Mr. Justice Black took pains to distinguish *Munsey*:

> "The point at issue in that case [*Munsey*] was whether the United States while holding a fund like the one in this case could offset against the contractor a claim bearing no relationship to the contractor's claim there at issue. We held that the Government could exercise the well-established common-law right of debtors to offset claims of their own against their creditors. *This*

Congress, of course, is free to waive sovereign immunity on terms of its choice. And it did so broadly in the 1976 amendment to Section 702. In what this Court termed "an important part of a major piece of legislation," *Bowen*, 487 U.S. at 896. Congress unequivocally eliminated sovereign immunity as a defense in lawsuits against the United States, except for claims seeking "money damages." That Congress has removed the "technical obstacle" of sovereign immunity is beyond dispute. *Id.* This Court should therefore reject

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> *was all we held*. The opinion contained statements which some have interpreted [footnote omitted] as meaning that we were abandoning the established legal and equitable principles of the *Prairie Bank* and *Henningsen* cases under which sureties can indemnify themselves against losses. • • • We hold that *Munsey* left the rule in *Prairie Bank* and *Henningsen* undisturbed."

Pearlman, 371 U.S. at 140-141 (emphasis added).

Third, at least three circuit courts have permitted subcontractors to directly sue the United States Postal Service. See *Wright*, 29 F.3d at 1426; *Active Fire Sprinkler*, 811 F.2d at 752-753; *Kennedy Elec.*, 508 F.2d at 954. If the *Munsey* quote accurately reflected current law, then those decisions would all be in error.

Fourth, *Munsey* cited as its exclusive support three Court of Claims decisions under the Tucker Act. See *H. Herfurth, Jr., Inc., v. United States*, 89 Ct. Cl. 122 (1939); *Schmoll v. United States*, 63 F. Supp. 753, 105 Ct. Cl. 415, 455 (1946); *Maryland Casualty Co. v. United States*, 100 Ct. Cl. 513, 53 F. Supp. 436, 440 (1944). This is not such a such a suit. See *infra*, 37-38.

Finally, whether *Munsey* was correctly decided, even under then-applicable law, has been the subject of debate among scholars. See Am. Br. For the Surety Assoc. of America at 9, n.8 and authorities cited therein.

Petitioner's argument to construe Section 702 narrowly. See *Block v. North Dakota*, 461 U.S. 273, 293-294 (1983) (O'Connor, J., dissenting) ("[a]lthough it is indeed true that the Court construes waivers of sovereign immunity strictly, that principle of statutory construction is no more than an aid in the task of determining congressional intent. In a close case, it may help the Court choose between two equally plausible constructions. It cannot, however, grant the Court authority to narrow judicially the waiver that Congress intended.") See also *United States v. Kubrick*, 444 U.S. 111, 118 (1979); *Indian Towing Co. v. United States*, 350 U.S. 61, 69 (1955) ("[o]f course, when dealing with a statute [the FTCA] subjecting the Government to liability for potentially great sums of money, this Court must not promote profligacy by careless construction. Neither should it as a self-constituted guardian of the Treasury import immunity back into a statute designed to limit it.").

IV. CONCLUSION

For the foregoing reasons, and those stated in its Brief in Opposition, Respondent respectfully requests that this Court affirm the judgment below.

Respectfully submitted,

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